



Deutsche Bank
Research

France in a Long-term Perspective...

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Deutsche Bank Research Institute

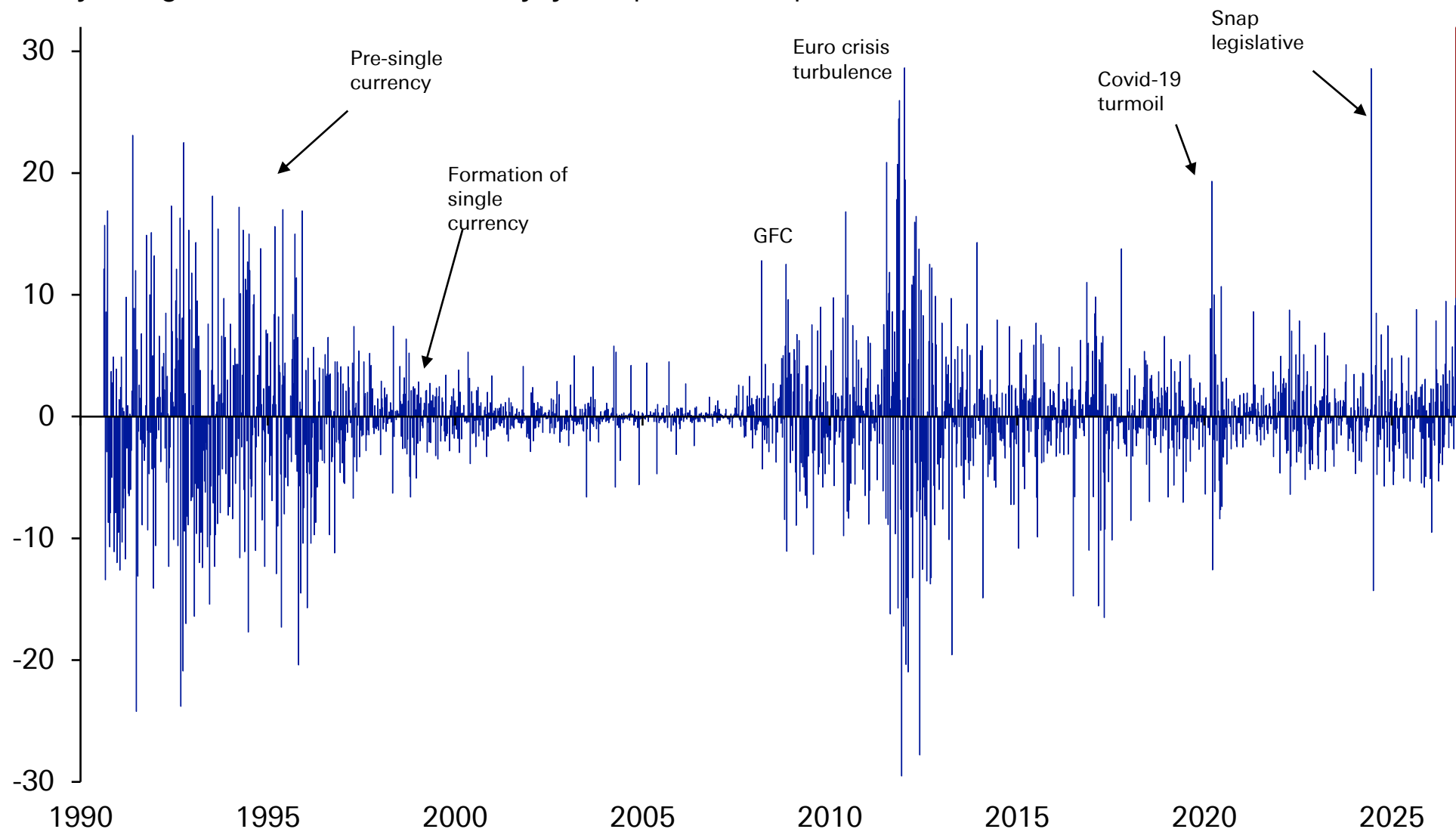
IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Although this week has seen a recovery so far, the moves last week were genuinely historic, with the Franco-German 10yr spread seeing its biggest weekly widening in available Bloomberg data back to German reunification in 1990.



Weekly change in the Franco-German 10yr yield spread (basis points)

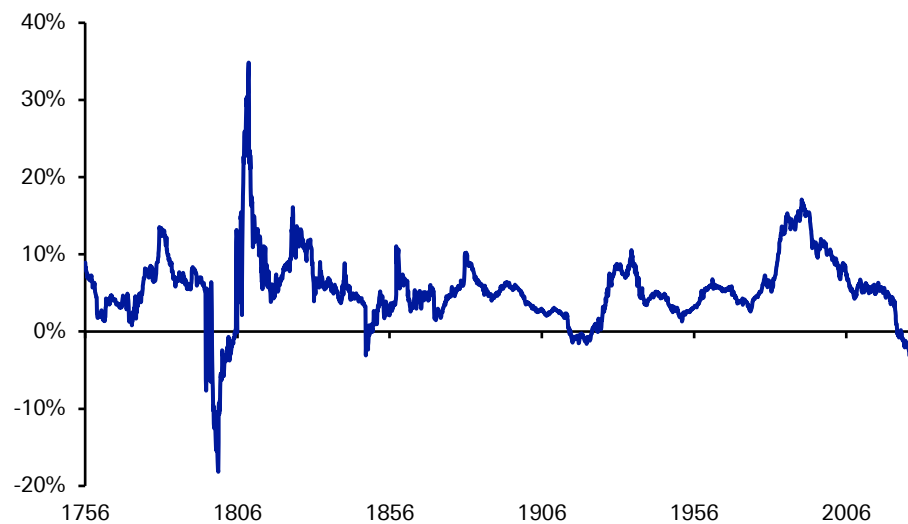


Source: Bloomberg Finance LP, Deutsche Bank

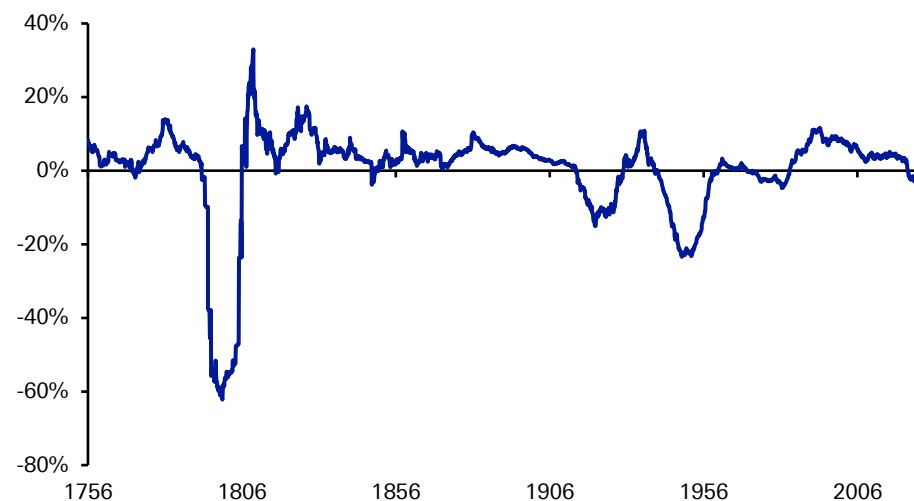
Zooming out, 10yr French OATs have seen their worst decade of nominal returns since 1803, when the Reign of Terror (1793-94) was still part of the 10yr rolling calculations.



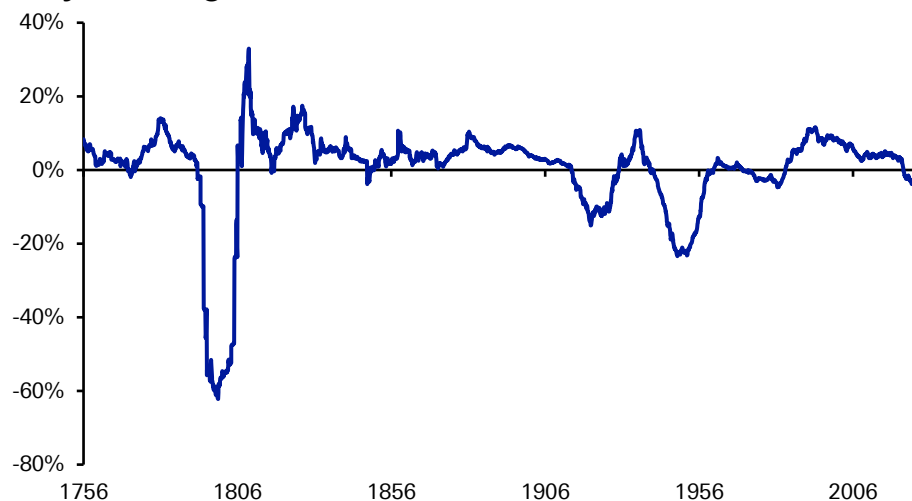
10yr Rolling Nominal Return (Annualised)



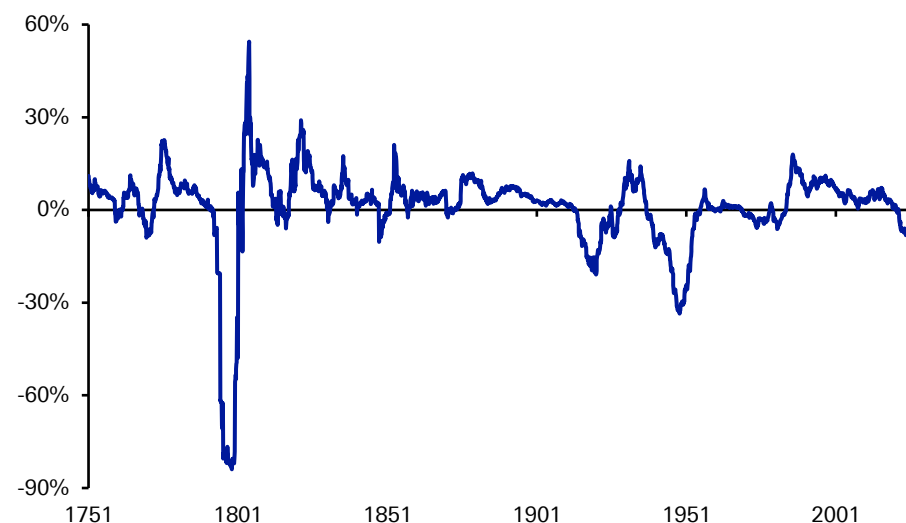
5yr Rolling Nominal Return (Annualised)



10yr Rolling Real Return (Annualised)



5yr Rolling Real Return (Annualised)

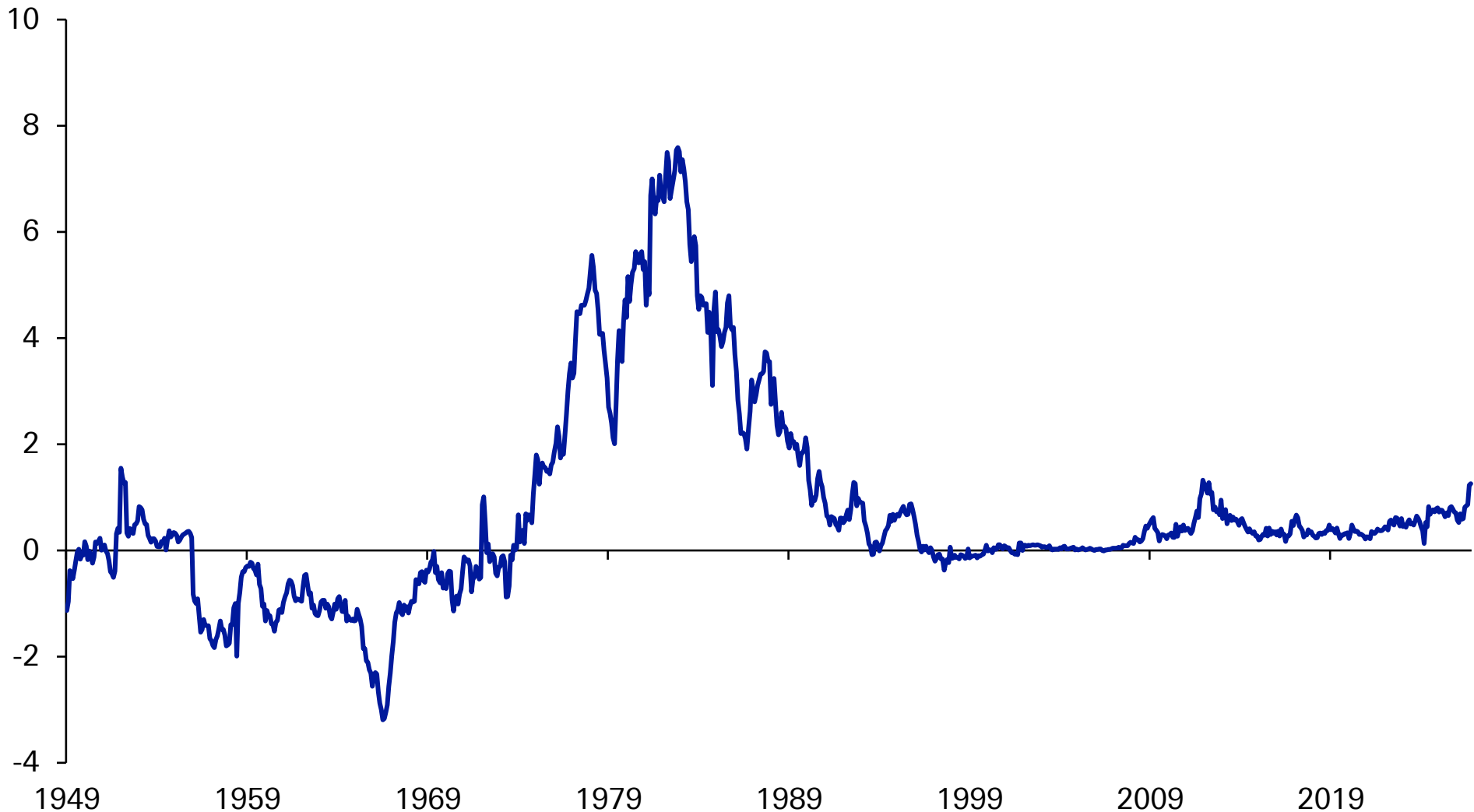


Source: Finaeon, Deutsche Bank

Recent concerns have pushed France's 10yr spread over Germany's, to its highest since 2012 and the Euro crisis. But in an historical perspective, today's spreads are only high by the standards of the Euro Area when the two shared a common currency. They were regularly several percentage points apart in the 70s and 80s.



Franco-German 10yr yield spread (percentage points)

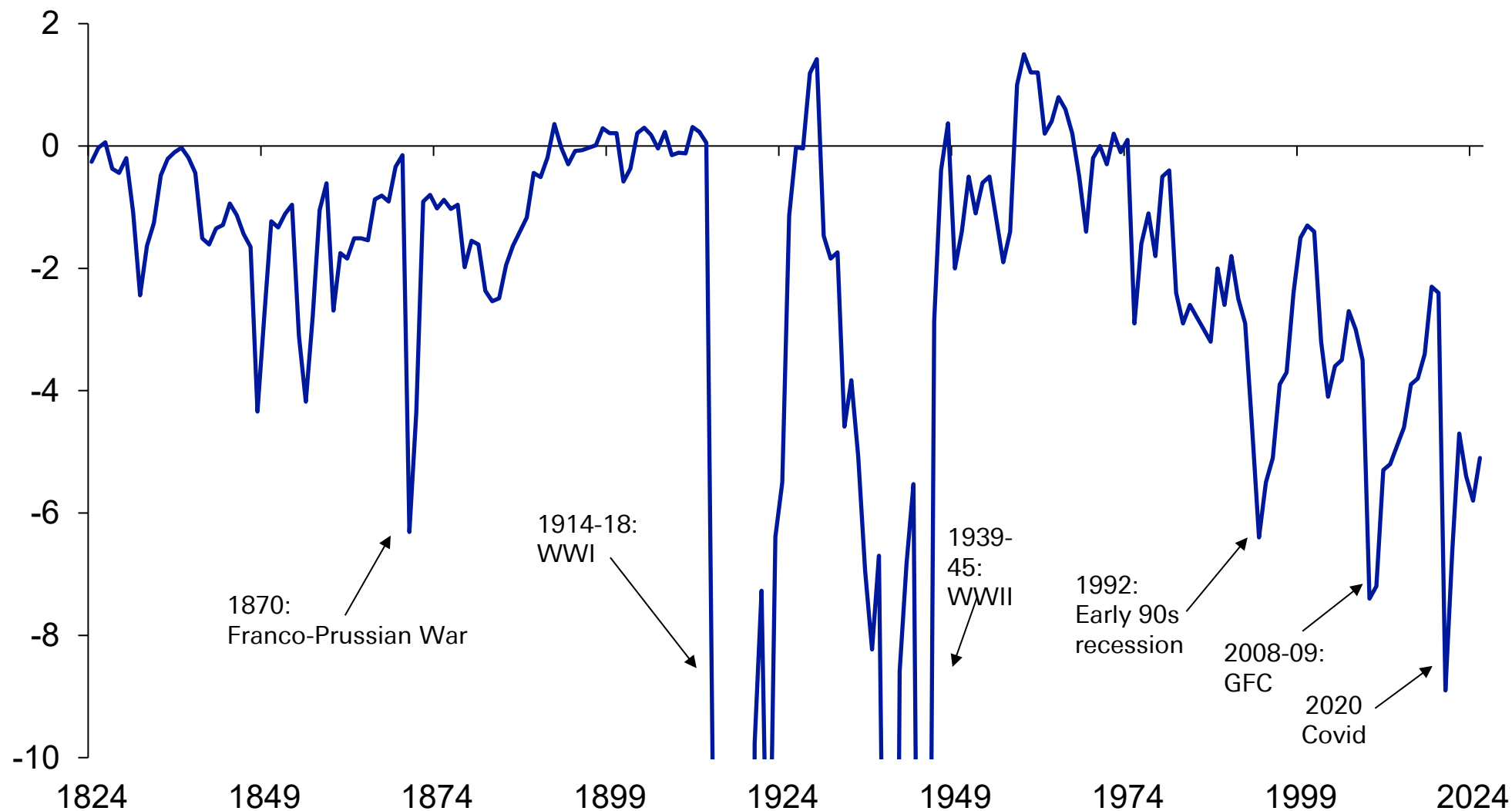


Source: Finaeon, Deutsche Bank

Although much of the recent selloff is an unwinding of carry trades, France has ongoing, if not new, fundamental issues. It hasn't run a budget surplus since 1974, and the deficit was last beneath 2% of GDP in 2001.



French Government Budget Deficit (% of GDP) over the last 200 years

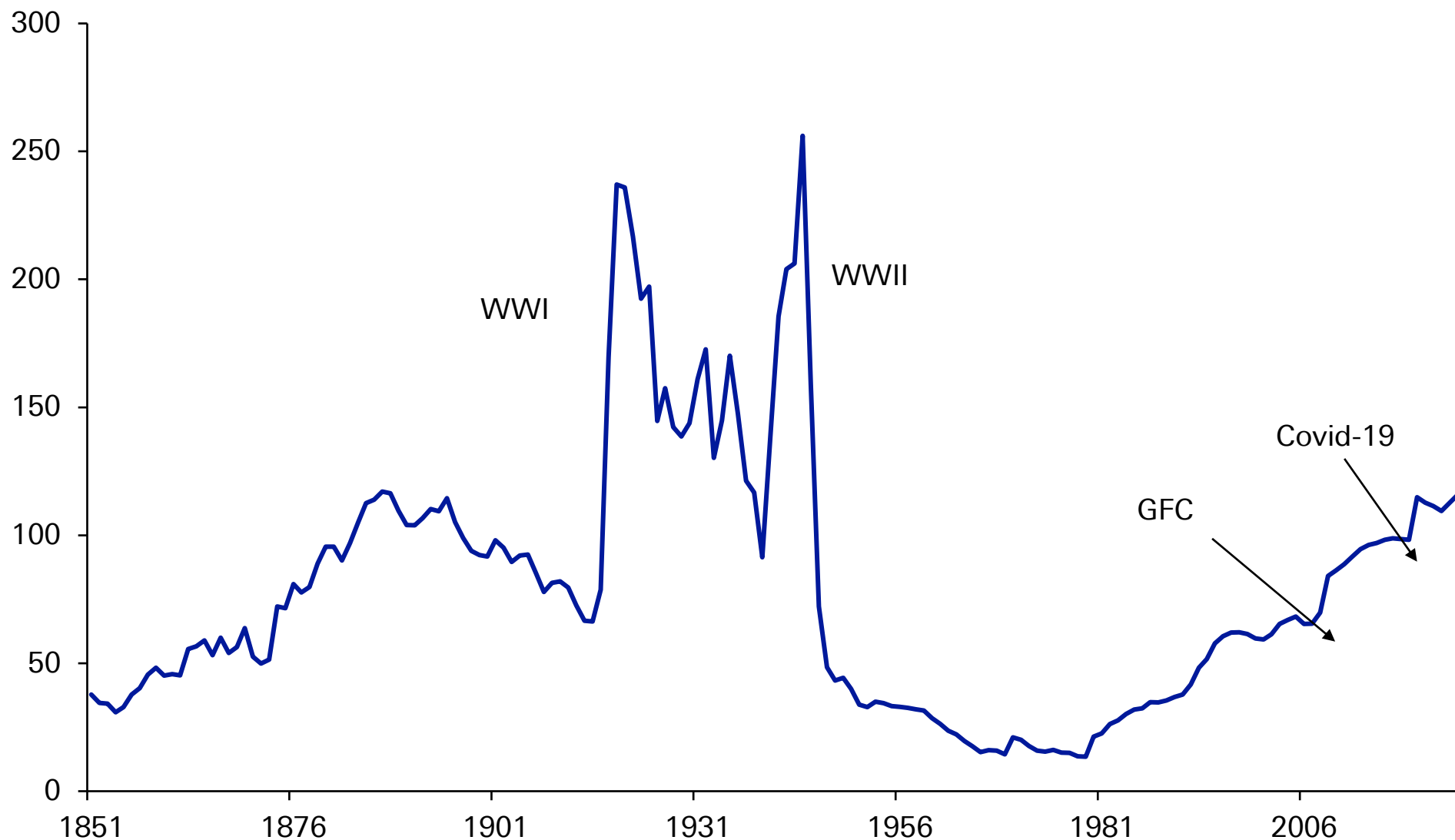


Source: Finaeon, Haver Analytics, Deutsche Bank

But with half a century of persistent deficits, France's debt-to-GDP ratio has seen a near-continuous rise – to 116% in 2025 under the Maastricht definition.



French Debt (% of GDP)

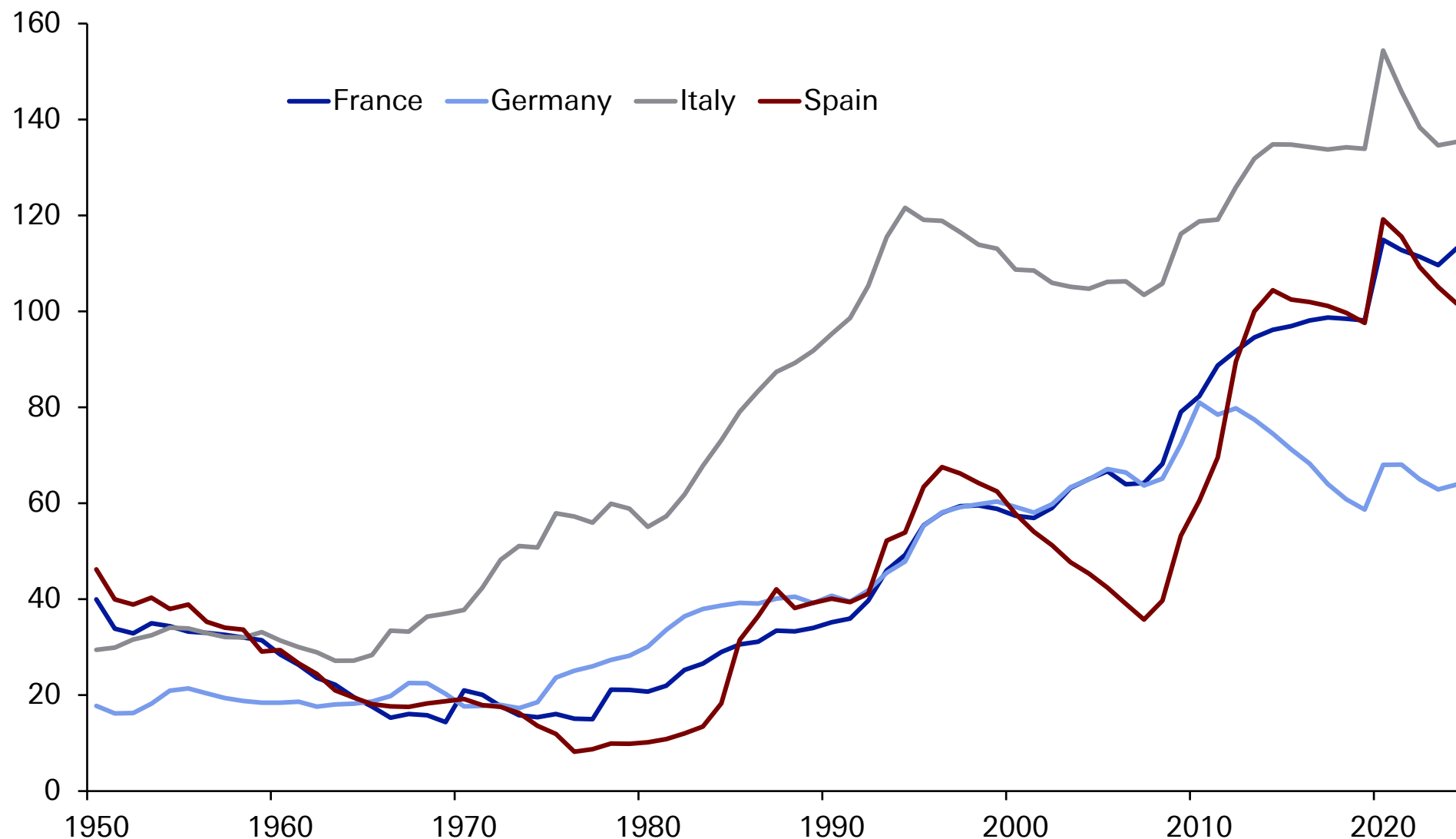


Source: Finaeon (up to 1979), Haver Analytics (from 1980), Deutsche Bank

France has also seen its debt rise in relative terms. As recently as the GFC in 2008, France's debt-to-GDP was basically in line with Germany's and well below Italy's, but today it's far above Germany's and closing in on Italy's. Outside of the temporary Covid spike, Italian debt/GDP has been stable for over a decade.



Gross Public Debt-to-GDP Ratios

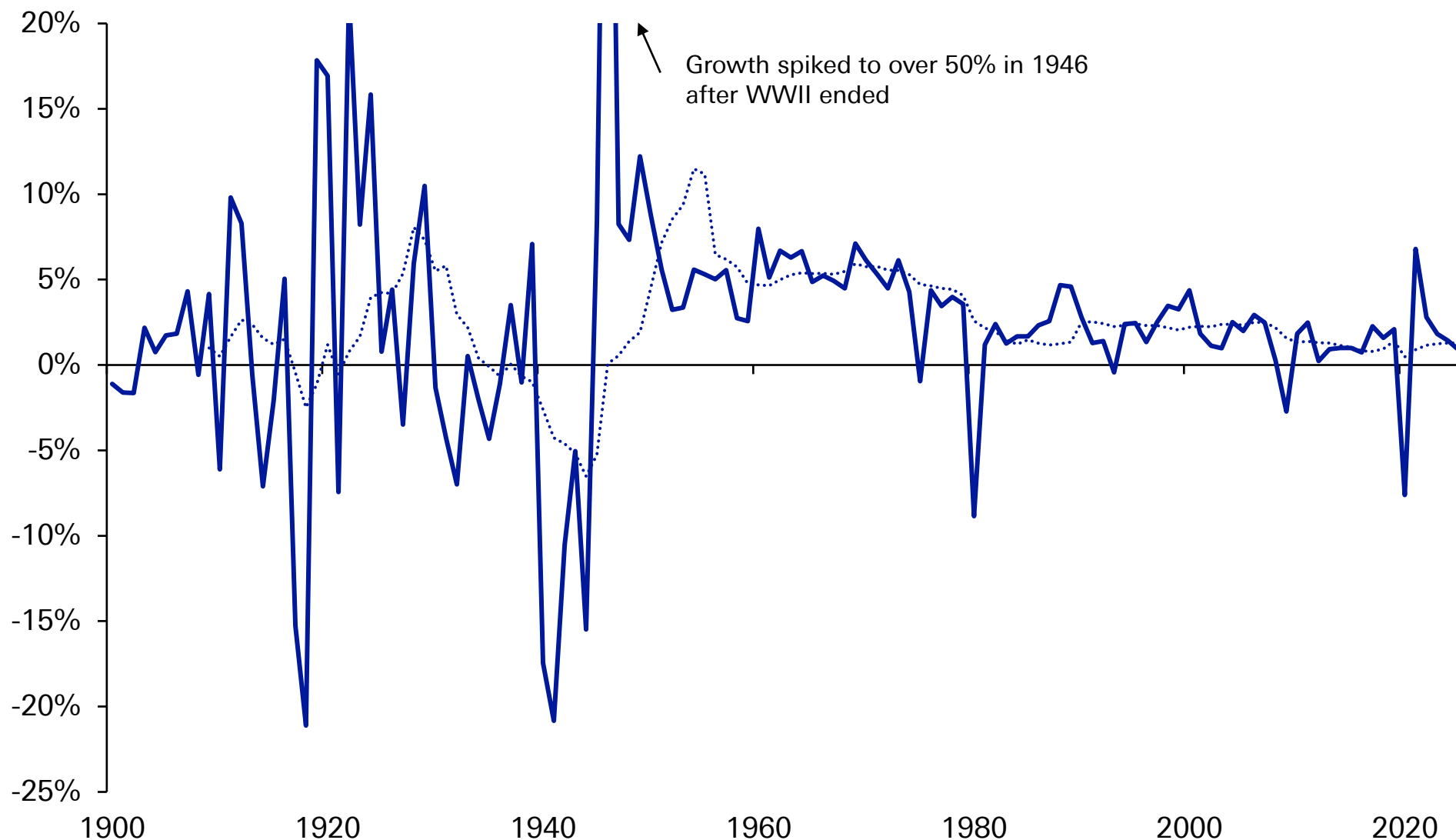


Source: IMF, Deutsche Bank

An ongoing fundamental concern has been sluggish growth in recent years – although none of this is new news.



French Real GDP Growth (year-on-year % change) with a 10yr Moving Average

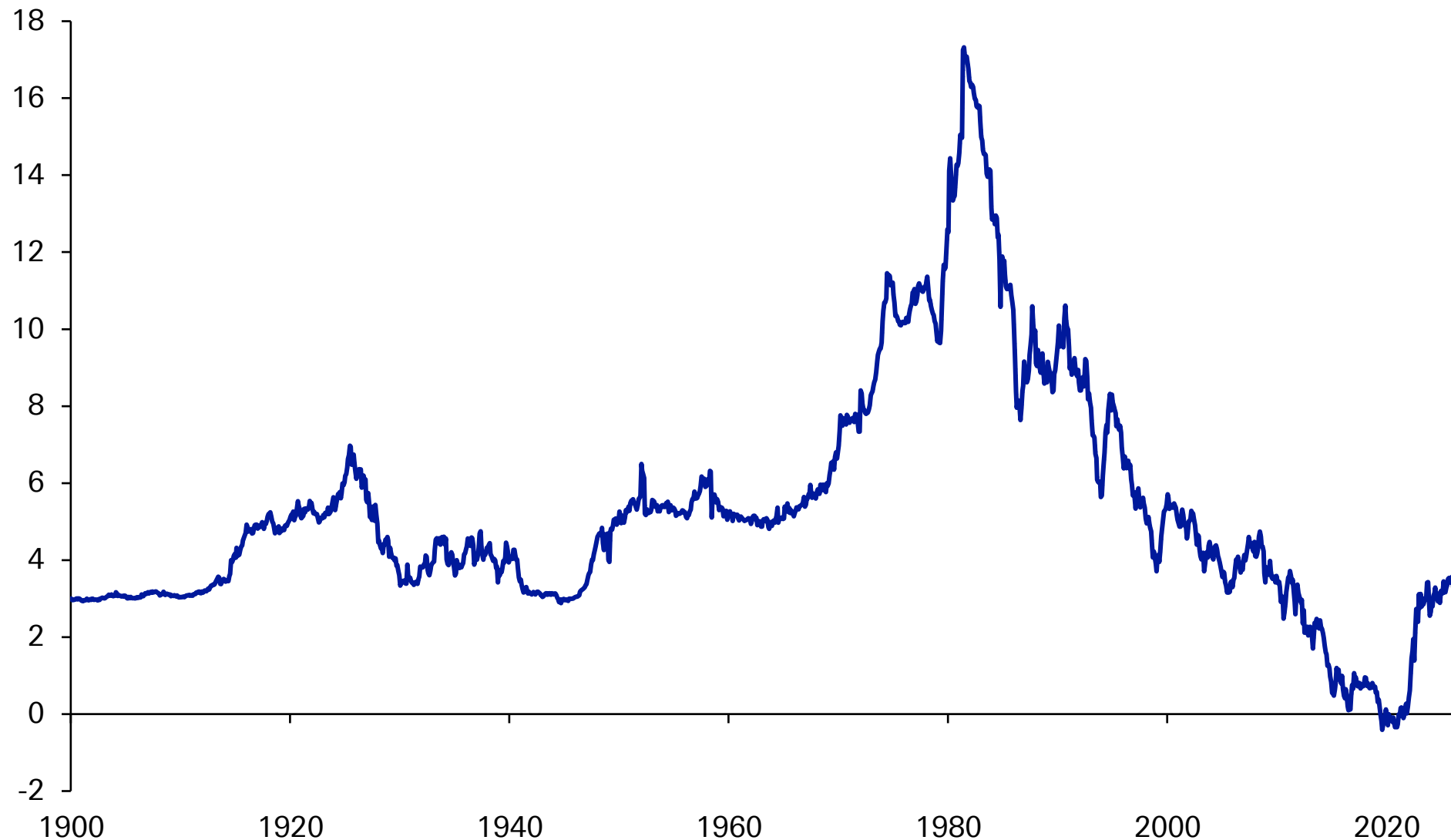


Source: Finaeon, Deutsche Bank

The recent jump in yields has pushed them just above their historical average, but the problem is that France is now paying these yields on a much larger debt pile.



10yr French government bond yield (%)

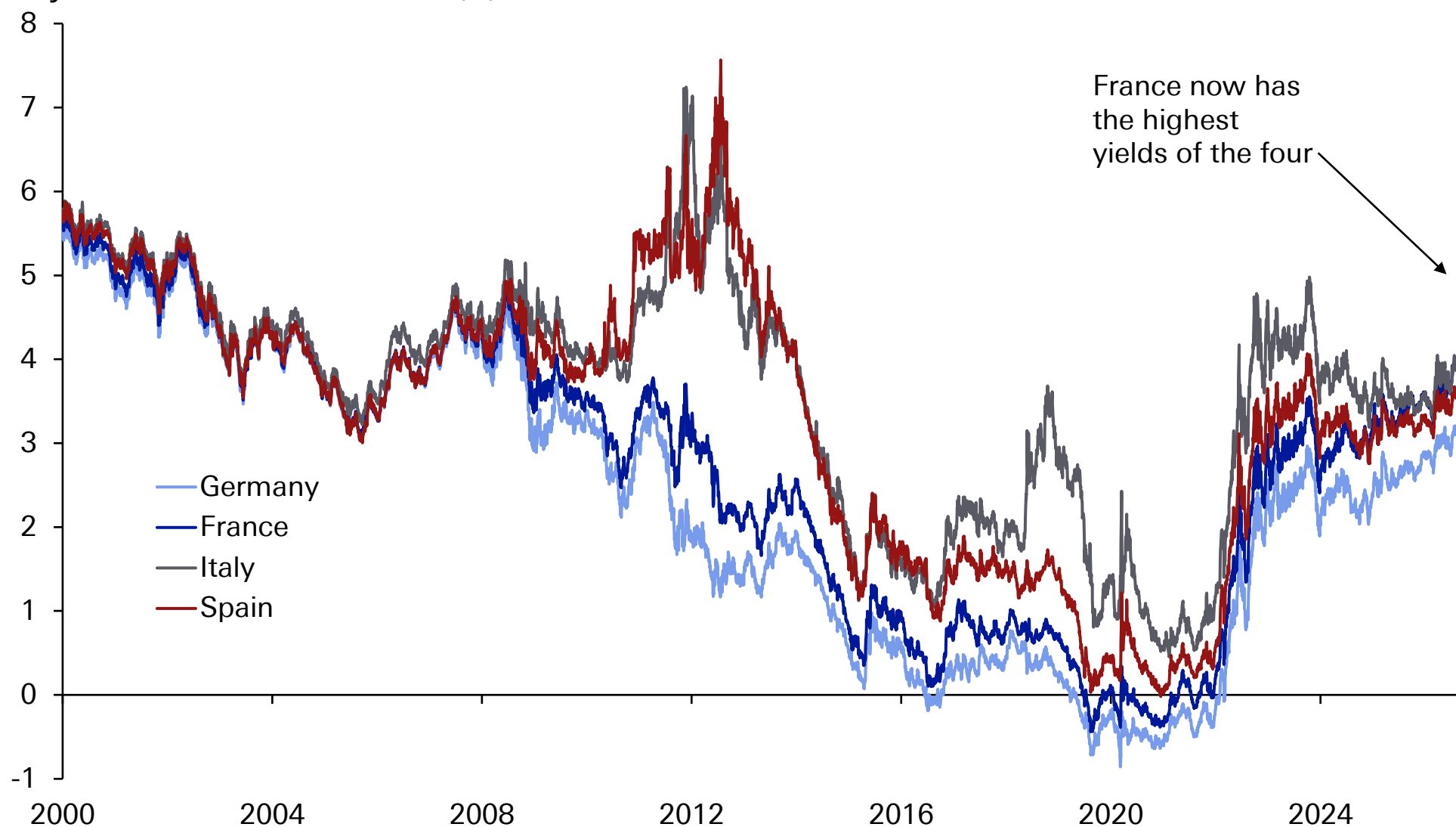


Source: Finaeon, Deutsche Bank

Back in the Euro Crisis of the early 2010s, markets priced France closer to Germany than to Italy and Spain, but today that's turned around and France now has the highest yields of all four.



10yr Government Bond Yields (%)



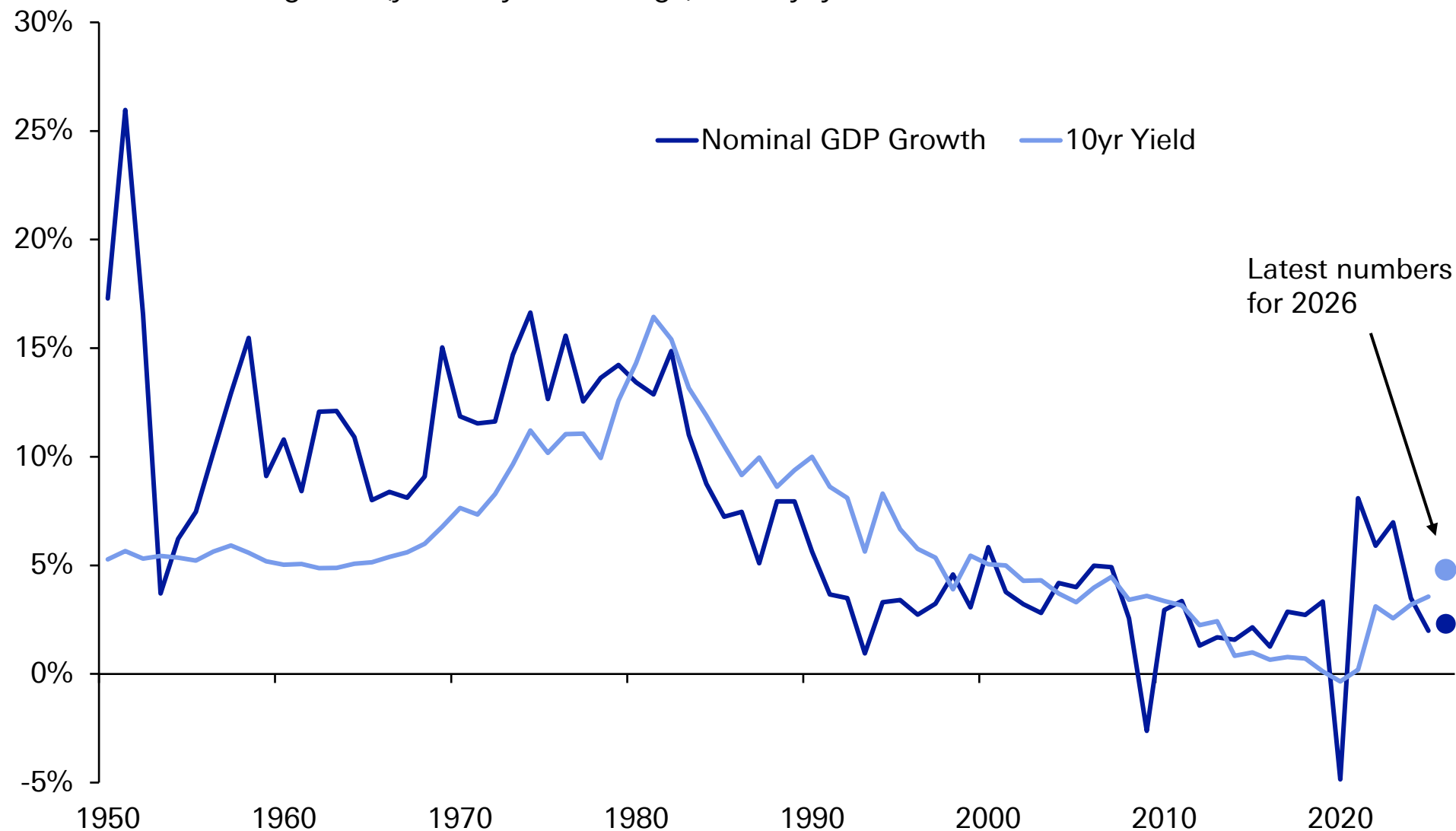
France now has the highest yields of the four

Source: Bloomberg Finance LP, Deutsche Bank

For most of the last decade, nominal GDP has been above 10yr yields, but that has reversed, which is challenging from a debt sustainability if sustained – especially when debt/GDP is pushing up against 120%. Recent inflation will slowly push up nominal GDP but the relationship between the two will be important going forward.



French nominal GDP growth (year-on-year % change) and 10yr yields

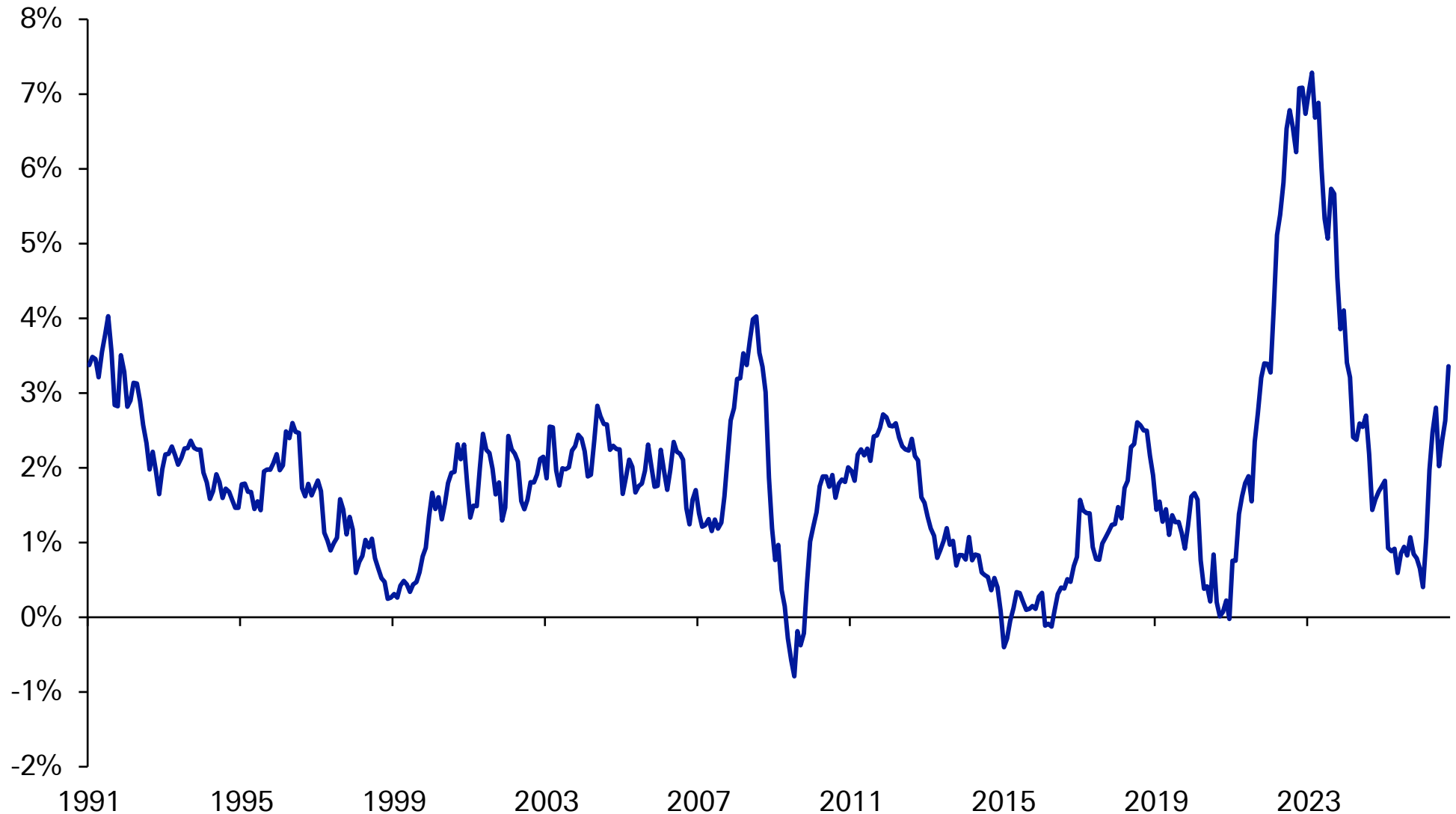


Source: Finaeon, Deutsche Bank

Inflation is always a double-edged sword when it comes to debt. An unexpected burst of inflation can help lower debt, as we saw right after the pandemic, but it becomes a challenge when higher yields offset this. This is now the 3rd biggest inflation spike since the Euro Area's formation in 1999.

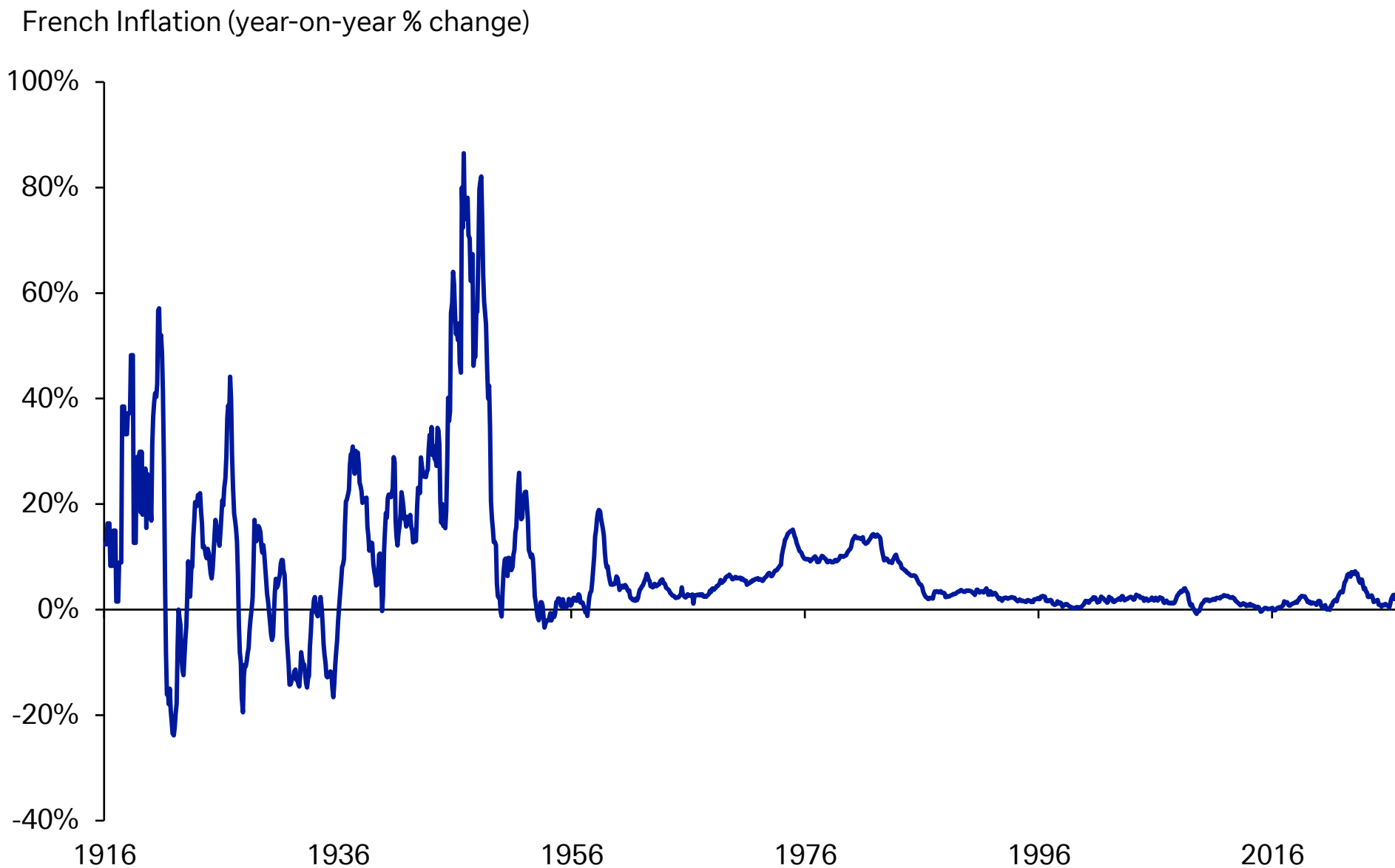


French HICP Inflation (year-on-year % change)



Source: Haver Analytics, Deutsche Bank

In a broader perspective, though, French inflation has been comparatively tame compared to its post-war heights, let alone where it was in the early 20th century.

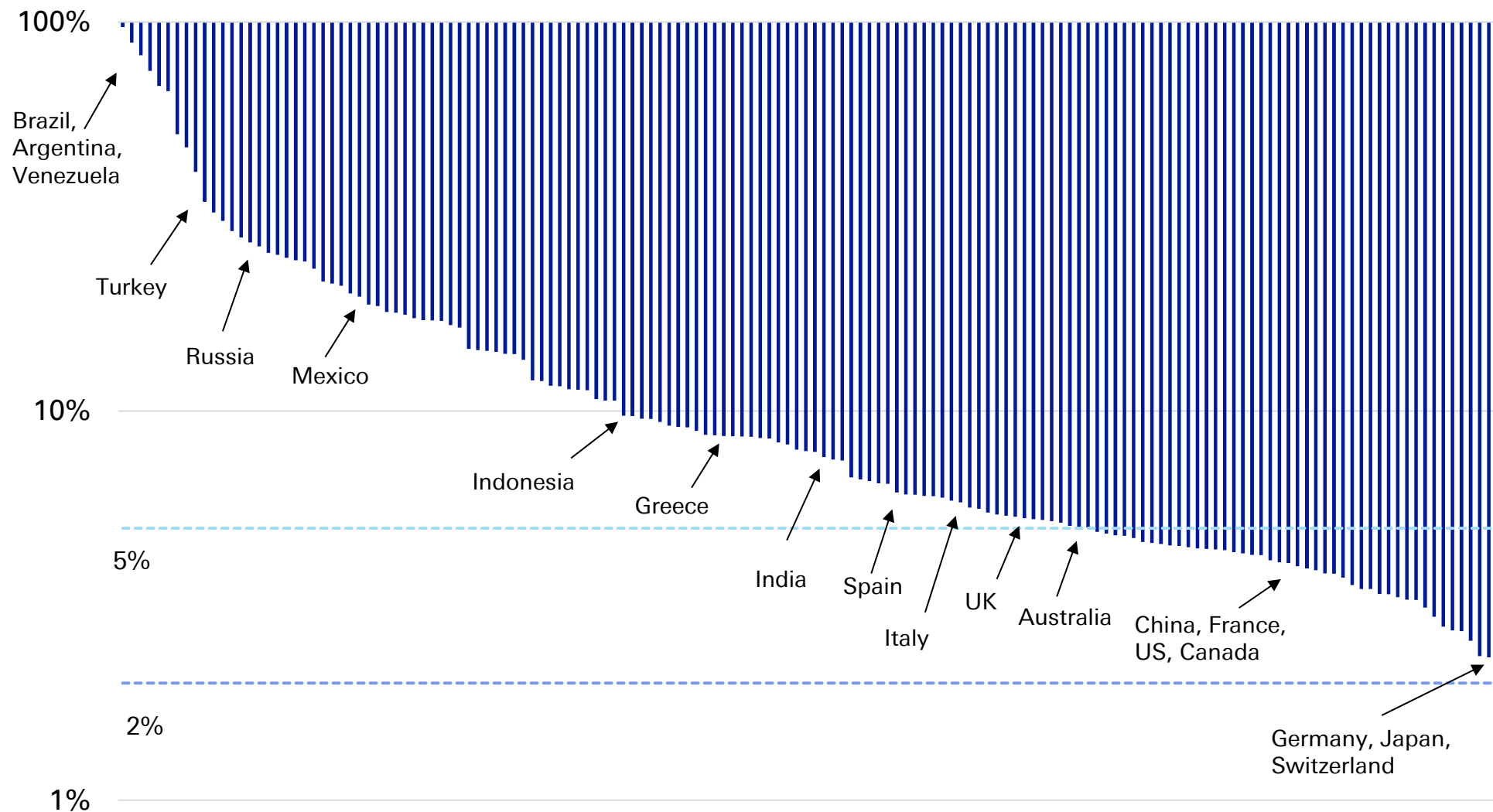


Source: Finaeon (until 1990), Haver Analytics (from 1991), Deutsche Bank

Even in the period when France has run 50-plus years of consecutive deficits, its average inflation has been broadly around US levels (c.4%) and lower than the likes of the UK, Italy and Spain.



Average annual inflation of 152 economies since 1971 when Bretton Woods collapsed. No economy has averaged less than 2% inflation, but Switzerland at 2.2% comes closest

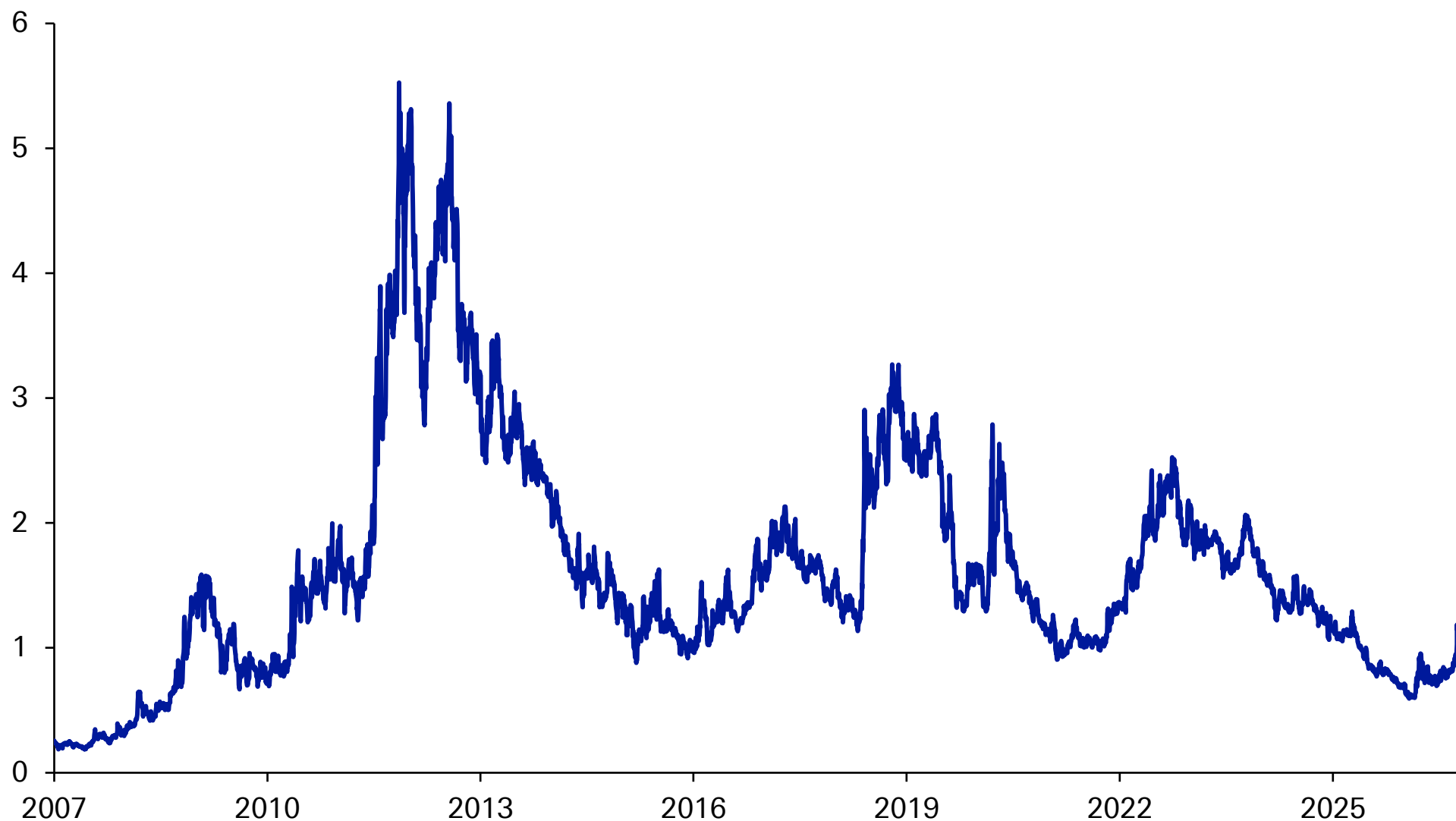


Source : World Bank, Deutsche Bank. Note: log scale.

And this isn't just about France, as Italy's spread has also widened in recent sessions. However, unlike France, the Italian spread isn't at its highest since 2012.

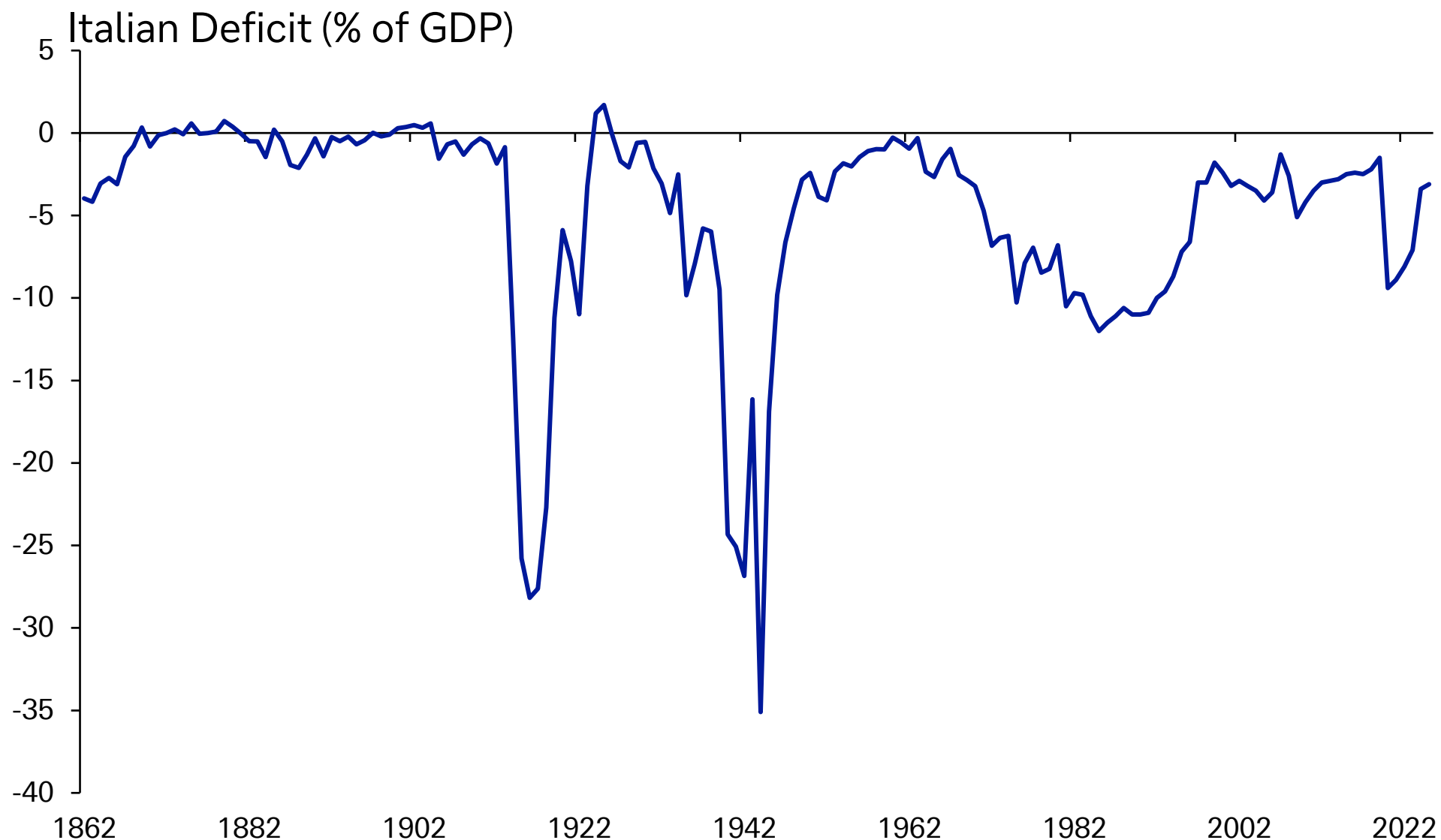


10yr Italian-German Yield Spread (%)



Source: Bloomberg Finance LP, Deutsche Bank

Italy has an even longer record of consistent budget deficits; the last surplus was back in 1925 – but it has run a primary surplus for most of the last few decades, unlike France.

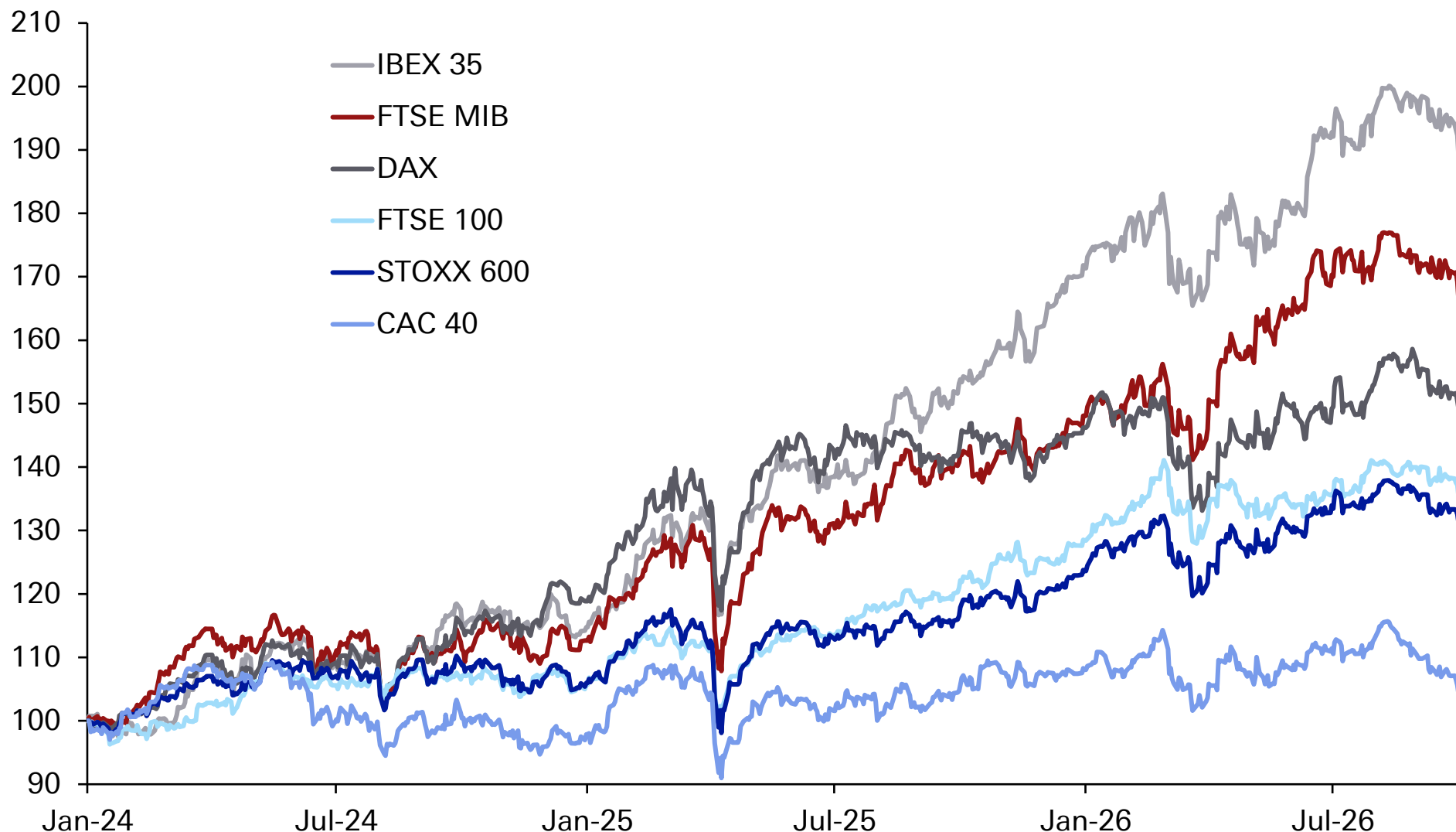


Source: IMF (up to 1979), Haver Analytics (from 1980), Deutsche Bank

The recent underperformance is clear for equities too – and has been for over two years. France's CAC 40 has recently underperformed all the major European equity indices: the Europe-wide STOXX 600 is up over 30% in that time, and the DAX is up over 50%, yet the CAC 40 is up only 4%.

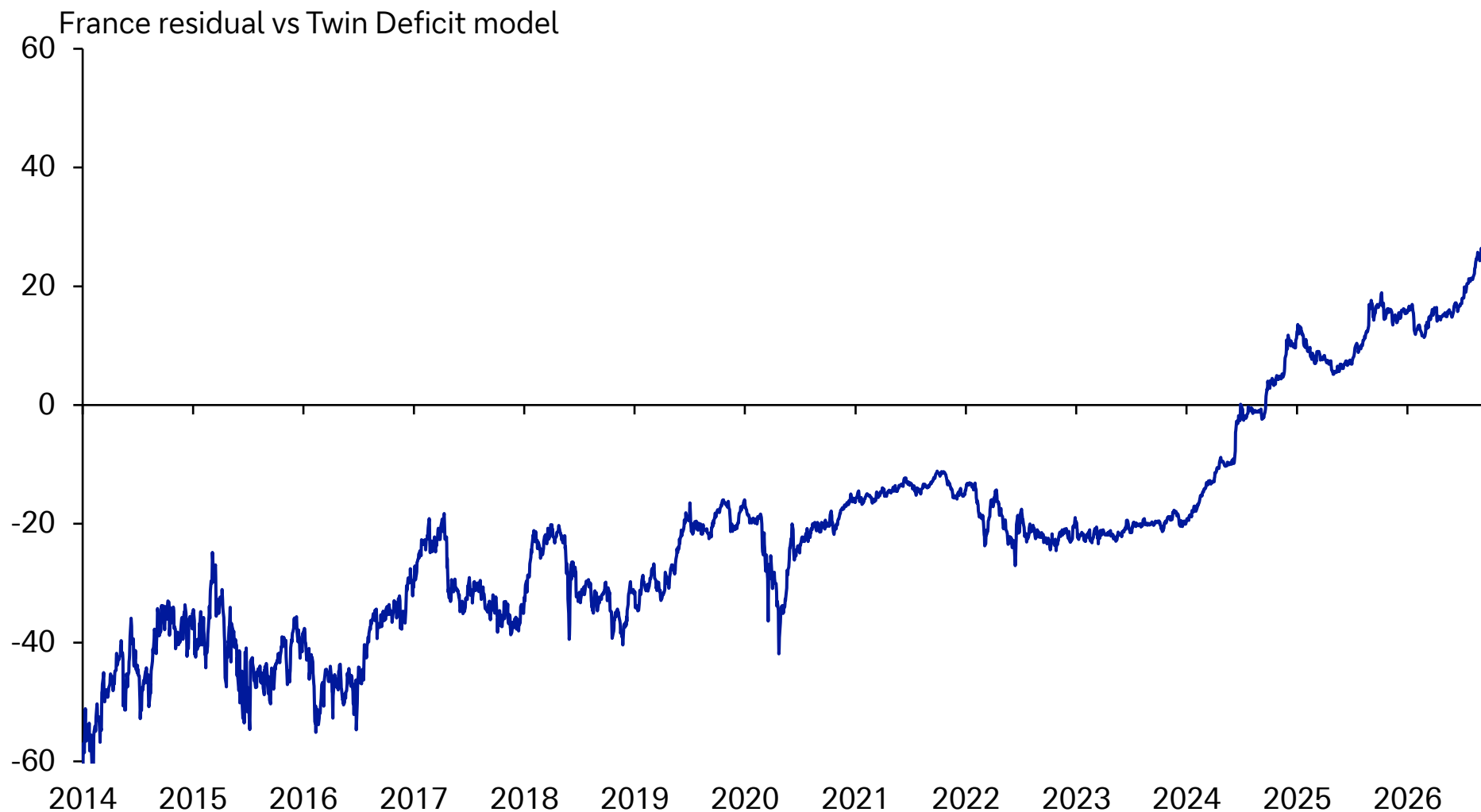


Major European Equity indices (Jan 1 2024 = 100)



Source: Bloomberg Finance LP, Deutsche Bank

All that said, DB's rates strategists now see French bonds as cheap relative to their fundamental metrics. This chart looks at the residuals of France's twin deficit score, which is a weighted average of the historical current account balance (% of GDP) and budget balance (% of GDP), with a higher weight assigned to more recent years.

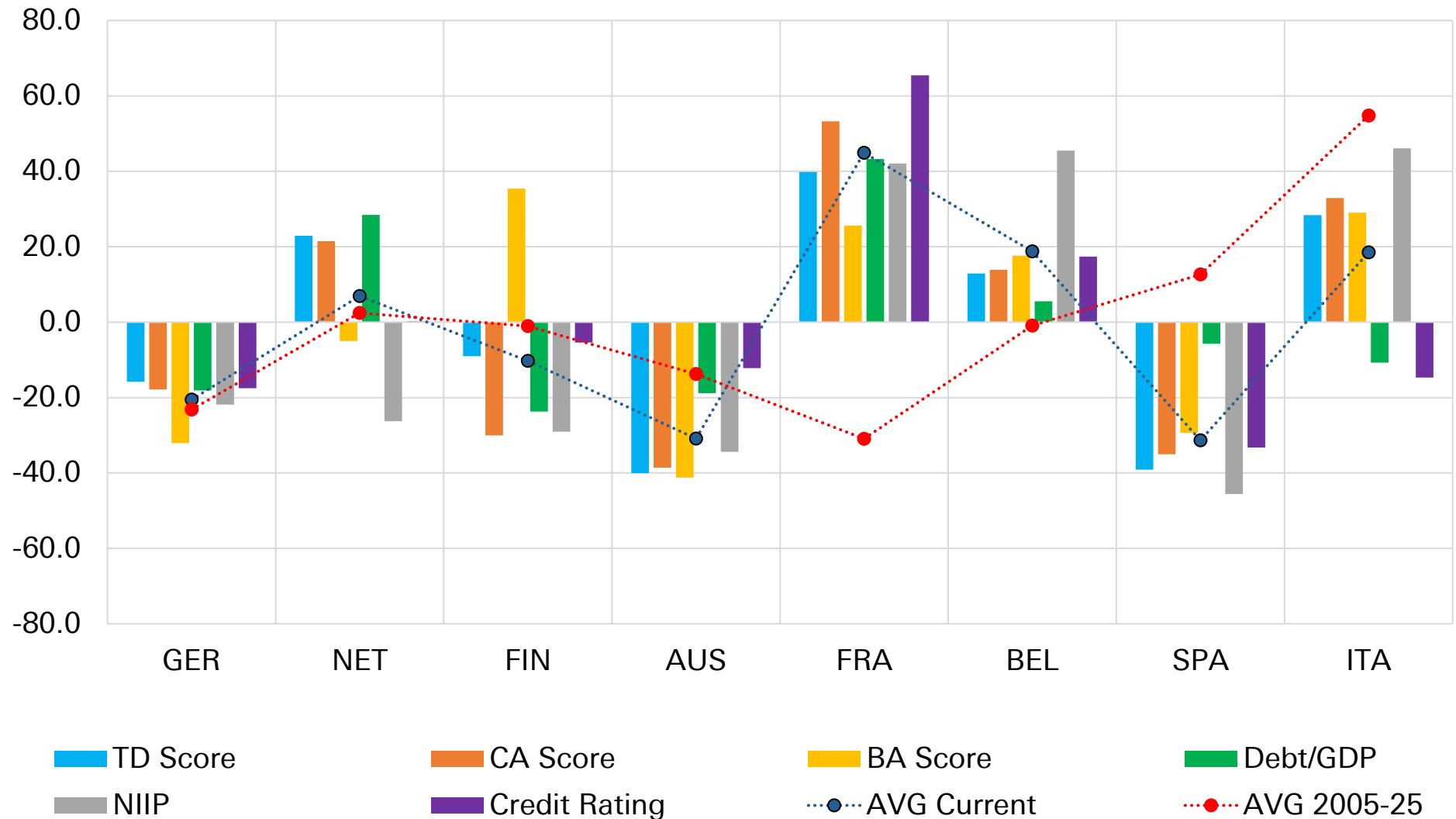


Source: Bloomberg Finance LP, Deutsche Bank

Looking at a variety of macro variables, they now see France as the cheapest European government bond relative to fundamentals. So things are challenging at the moment, and the long-term charts look worrying, but much of the sell-off in recent days/weeks has been due to a clearing-out of carry trades, implemented assuming a much lower vol period than we've seen.



EGB 10y yields' residuals vs various Macro variables



Source: IMF, Bloomberg Finance LP, Deutsche Bank



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